CHAPTER C-01
INTRODUCTION TO INSURANCE

Chapter Introduction

This chapter aims to introduce the basics of insurance, trace its evolution and how it works. It intends to teach how insurance provides protection against economic losses arising as a result of unforeseen events and serves as an instrument of risk transfer.

Learning Outcomes

A. Insurance – History and evolution

B. The Principle of Risk Pooling

C. Risk management techniques

D. Insurance as a tool for managing risk

E. Considerations before opting for Insurance

F. Insurance Market Players

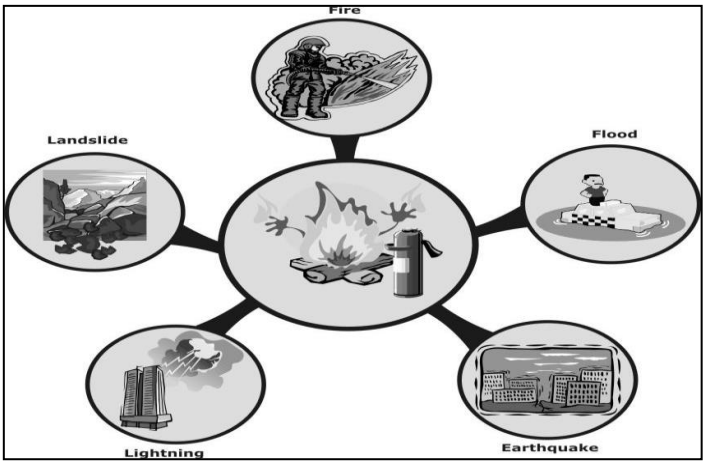
G. Role of Insurance in the Society

A. Insurance – History and Evolution

We live in a world of uncertainty. We hear about:

- ✓ Trains colliding
- ✓ Floods destroying entire communities
- ✓ Earthquakes destroying buildings
- ✓ Young people dying unexpectedly

Diagram 1: Events happening around us



Why do these events make people anxious and afraid?

The reason is simple.

i. Firstly these **events are unpredictable.** If one can anticipate and predict an event, one can prepare for it.

ii. Secondly, such unpredictable and untoward events are often a **cause of economic loss and grief**.

The people around can come to the aid of individuals who are affected by such events, by having a system of sharing and mutual support. The idea of insurance is thousands of years old. Yet, the present form of insurance, is only two or three centuries old.

1. History of insurance

Insurance has existed in some form or other since 3000 BC. Many civilisations, have practiced the concept of pooling and sharing among themselves, all the losses suffered by some members of the community. Let us take a look at some of the ways in which this concept was applied.

2. Insurance through the ages – Some instances

Bottomry Loans	**Traders of Babylon** paid extra money to their lenders to write off their loans if shipment was lost or stolen. **Traders of Bharuch and Surat** also had similar practices.
Benevolent Societies/ Friendly Societies	Greeks of 7th Cy. AD, used to pay in advance to take care of the family of members who died and also the funeral expenses of the member. Similar practices were followed in England as well.
Rhodes	Traders of Rhodes who were sending goods by sea, were sharing losses if any of them lost their goods due to jettison[1].
Chinese Traders	**Chinese traders** in ancient days used to send their goods in different ships, so that even if some boats sank, their loss would be partial.

3. Modern concepts of insurance

In India the principle of life insurance was reflected in the joint-family system. Losses arising from the demise of a member were shared by various family members so that each member of the family continued to feel secure.

The break-up of the joint family system and emergence of the nuclear family in the modern era, coupled with the stress of daily life has made it necessary to evolve alternative systems for security. This highlights the importance of life insurance to an individual.

i. **Lloyds**: The origins of modern commercial insurance started at Lloyd's Coffee House in London, where traders agreed to share losses they suffered due to various perils at sea.

ii. **Amicable Society for a Perpetual Assurance** founded in 1706 in London is considered to be the first life insurance company in the world.

4. History of insurance in India

a) **India**: Modern insurance in India began in early 1800 or thereabouts, with agencies of foreign insurers starting marine insurance business.

The Oriental Life Insurance Co. Ltd	The first life insurance company to be set up in India was an English company
Triton Insurance Co. Ltd.	The first non-life insurer to be established in India
Bombay Mutual Assurance Society Ltd.	The first Indian insurance company. It was formed in 1870 in Mumbai

[1]Jettison/ Jettisoning' refers to throwing away some of the cargo to reduce the weight of the ship while at sea.

National Insurance Company Ltd.	The oldest insurance company in India. It was founded in 1906

Many other Indian companies were set up subsequently as a result of the Swadeshi movement at the turn of the century.

Important

a) The **Insurance Act 1938** was the first legislation to regulate the conduct of insurance companies in India. This Act, as amended from time to time continues to be in force.

b) Life insurance business was nationalised on 1st September 1956 and the **Life Insurance Corporation of India (LIC)** was formed. From 1956 to 1999, the LIC held exclusive rights to do life insurance business in India.

c) In 1972, the non-life insurance business was also nationalised and the **General Insurance Corporation of India (GIC) and its four subsidiaries** were set up.

d) **The Malhotra Committee, in its report submitted in 1994, recommended** opening of the market for competition

e) The Insurance market was liberalised in 2000, with the passing of the Insurance Regulatory & Development Act, 1999 (IRDAI), which also established the Insurance Regulatory and Development Authority of India (IRDAI) in April 2000 as a statutory regulatory body for the insurance industry.

f) An amendment of the Insurance Act in 2021, has allowed Foreign investors, to hold up to 74% of the paid up equity capital in an Indian Insurance company. Foreign insurers can now establish branches in India to do reinsurance.

a. Insurance industry today (As on 30th September 2021)

a) There are 24 Life insurance companies operating in India. Of these, Life Insurance Corporation (LIC) of India is a public sector company (PSU) and the remaining 23 life insurance companies are in the private sector.

b) There are 34 General Insurance companies of which 4 - National Insurance Co. Ltd, The New India Assurance Co. Ltd., The Oriental Insurance Co. Ltd and United India Insurance Co. Ltd. are PSU Companies dealing with all lines of general insurance. 26 Private Companies also deal with all lines of general insurance. 6General Insurers deal only in Health insurance. 2 are specialised insurers - Agricultural Insurance Company [AIC] and Export Credit and Guarantees Corporation [ECGC], both set up as Public sector entities.

c) There is one Reinsurance Company – The General Insurance Corporation of India [GIC Re] and 11 foreign Reinsurers that operate through branch offices.

d) The Department of Posts (called as India Post) of the Government of India, also transacts life insurance known as Postal Life Insurance. India post is exempt from the purview of the Insurance Regulator.

Test Yourself 1

Which among the following is the regulatory body for the insurance industry in India?

I. Insurance Authority of India
II. Insurance Regulatory and Development Authority of India
III. Life Insurance Corporation of India
IV. General Insurance Corporation of India

How insurance works

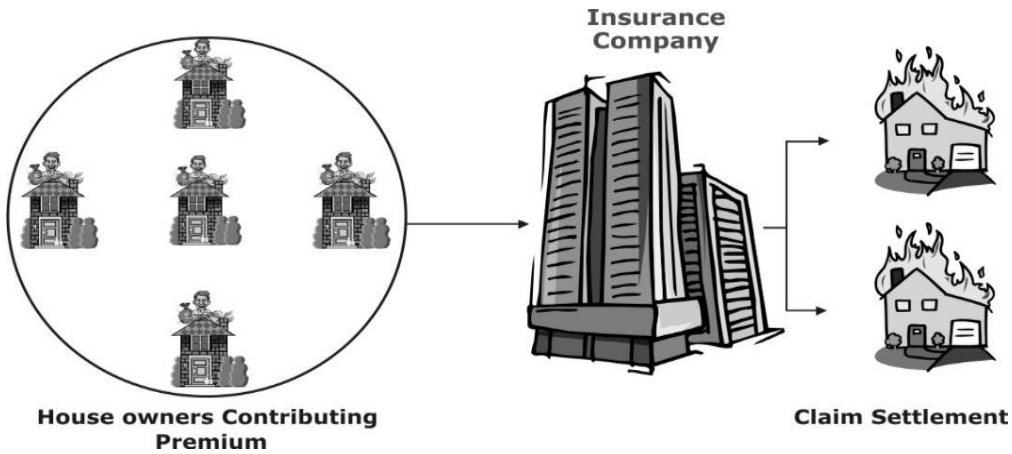
Modern commerce was founded on the principle of ownership of property. When an asset loses value (by loss or destruction), the owner of the asset suffers an economic loss. This loss can be compensated from a common fund made up of small contributions from many similar asset owners. This process of transferring the chance and consequence of a loss making event is insurance.

This mechanism of pooling risks works differently in the case of death and disability as there is no loss/ destruction of a commercial asset.

Definition

Insurance may thus be considered as a process by which the losses of a few are shared amongst many of those exposed to similar uncertain events/ situations.

Diagram 2: How insurance works



There are however some questions that need to be answered.

i. Would people agree to part with their hard earned money, to create such a common fund?

ii. How could they trust that their contributions are actually being used for the desired purpose?

iii. How would they know if they are paying too much or too little?

iv. Who would take the responsibility of managing these funds and paying those who suffer the loss?

The need for an Insurer comes as an answer to all these questions. The Insurer assesses the risk, decides and collects the individual contributions (called premium), pools the risks and premiums, and arranges to pay to those who suffer the loss. The insurer must also win the trust of the individuals and the community.

1. Insurance is about value

a) Firstly, there must be an asset which has an economic value. The **Asset** may be:

   i. **Physical** (like a car or a building) or

   ii. **Non-physical** (like reputation, goodwill, liability to pay to someone) or

   iii. **Personal** (like one's eyes, limbs, body and physical capabilities).

b) The asset may lose its value if a certain event happens. This chance of loss is called as **risk**. The cause of the risk event is known as **peril**.

c) There is a principle known as **pooling**. This consists of collecting numerous individual contributions (known as premiums) from various persons. These persons have similar assets which are exposed to similar risks. Their assets are also referred to as 'risks' in many contexts.

d) This pool of funds is used to compensate the few who might suffer the losses caused by a **peril**.

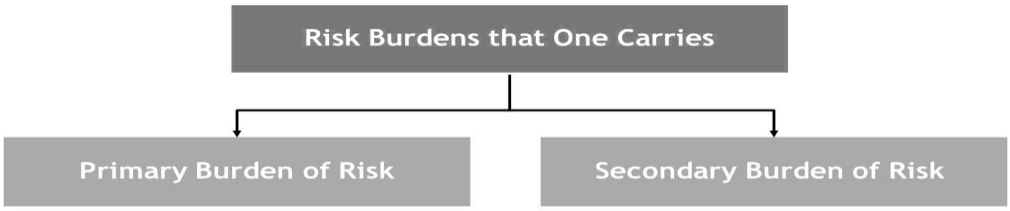
e) This process of pooling funds and compensating the unfortunate few is carried out through an institution known as the **insurer** (Insurance Company).

f) The insurer enters into an insurance **contract** with each person who seeks to participate in this mechanism of pooling. The persons who participate are known as **insured.**

2. Insurance reduces Risk Burden

The burden of risk refers to the costs, losses and disabilities one has to bear as a result of being exposed to a given loss situation/ event.

Diagram 3: Risk burdens that one carries



There are two types of risk burdens that one carries – **primary and secondary**.

a) Primary burden of risk

The **primary burden of risk** consists of losses that are actually suffered by households (and business units), as a result of pure risk events. These losses are often direct and measurable; and can be easily compensated for by insurance.

Example

When a factory gets destroyed by fire, the actual value of goods damaged or destroyed can be estimated and the compensation can be paid to the owner of the factory who has suffered the loss.

Similarly, if an individual undergoes a heart surgery, the medical cost of the same is known and compensated. In addition there may be some indirect losses.

Example

A fire may interrupt business operations and lead to loss of profits which also can be estimated and the compensation can be paid to the one who suffers such a loss.

Someone whose scooter hits a pedestrian is liable to pay the victim the compensation that the Court decides.

b) Secondary burden of risk

Even when no such event occurs and there is no loss, the people who are exposed to the peril carry some burden. That is, apart from the primary burden, one also carries a secondary burden of risk.

The **secondary burden of risk** consists of costs and strains that one has to bear, even if the said event does not occur, from the mere fact that one is exposed to a loss situation.

Let us understand some of these burdens:

i. Firstly there is **physical and mental strain caused by fear and anxiety**. This can cause stress and affect a person's wellbeing.

ii. Secondly when one is **uncertain about whether a loss would occur or not**, it would be prudent to keep a reserve fund to meet such an eventuality. Such funds may be held in liquid form and yield low returns.

By transferring the risk to an insurer, it becomes possible to enjoy peace of mind and also invest one's funds more effectively. It is precisely for these reasons that insurance is needed.

In India, one must purchase third party insurance if he/ she owns a vehicle because it is mandatory if one wants to drive on a public road. At the same time it would be prudent to cover the possibility of loss of own damage to the car though it is not

mandatory. It is also compulsory to have a Personal Accident cover for the Owner-Driver.

Test Yourself 2

Which among the following is a secondary burden of risk?

I. Business interruption cost
II. Goods damaged cost
III. Setting aside reserves as a provision for meeting potential losses in the future
IV. Hospitalisation costs as a result of heart attack

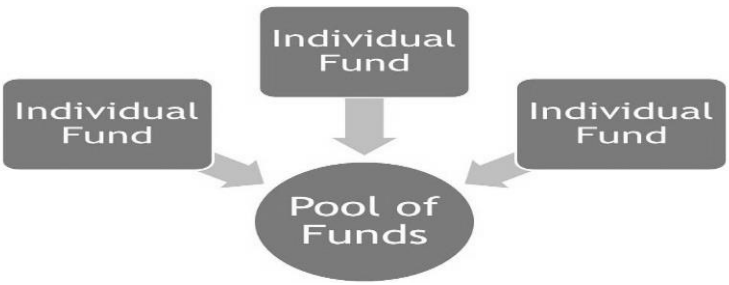
B. The Principle of Risk Pooling

Insurance companies enter into contracts with different entities – policyholders, who can be individuals or corporates. The benefits they pay to policyholders are contractual obligations. Insurance contracts are meaningful only if the Insurers are financially capable of taking over the risks and compensating for the losses, if and when they occur. The structure arises from application of the mutuality or the pooling principle.

Mutuality and Diversification are two important ways to reduce risk in financial markets. They are fundamentally different.

Diversification	Mutuality
Here the funds are spread out among various assets (eggs are placed in different baskets).	Under mutuality or pooling, the funds of various individuals are combined (all eggs are placed in one basket).
Funds flow from one source to many destinations.	Funds flow from many sources to one.

Diagram 4: Mutuality - Mutuality (Funds flow from many sources to one)



The Principle of Mutuality is what gives insurance contracts their power and uniqueness. By paying a small contribution (the premium), an insured immediately creates a large quantity of funds (corpus)that is available to him/ her in the event of a loss arising due to the insured risk. This potential corpus of money is what makes insurance unique and without any substitutes among all financial products.

C. Risk Management Techniques

One may also ask whether insurance is the right solution to all kinds of risk situations. The answer is 'No'.

Insurance is only one of the methods by which individuals may seek to manage their risks. Here they transfer the risks they face to an insurance company. However there are other methods of dealing with risks, which are explained below:

1. Risk avoidance

Reducing risk by avoiding a loss situation is known as risk avoidance. Thus one may try to avoid activities or situations, or avoid dealing with property or persons due to which there can be an exposure.

Example

i. One may avoid certain manufacturing risks by contracting out the manufacturing to someone else.

ii. One may not venture outside the house for fear of meeting with an accident or may not travel at all for fear of falling ill when abroad.

Risk avoidance is considered a negative way to handle risk. Individuals and societies need to take some risks for doing activities for their progress. Avoiding such risk taking activities would lead to losing the benefits from such activity.

2. Risk retention

One tries to manage the impact of risk and decides to bear the risk and its effects by oneself. This is known as self-insurance.

Example

A business house may decide, based on experience about its capacity to bear small losses upto a certain limit, to retain the risk with itself.

3. Risk reduction and control

This is a more practical and relevant approach than risk avoidance. It means taking steps to lower the chance of occurrence of a loss and/ or to reduce severity of its impact if such loss should occur.

Important

Measures to reduce the chance of occurrence of loss causing events are known as '**Loss Prevention**'. The measures to reduce the degree of loss, in case a loss happens, are called '**Loss Reduction**'/ Loss Minimisation.

Risk reduction involves reducing the frequency and/ or sizes of losses through:

a) **Education and training of various types of employees in proper risk practices - e.g.** (i) participating in 'fire drills'; (ii)wearing of seatbelts helmets on cars.

b) **Making Environmental changes -** like improving physical conditions - e.g. (i) installing fire alarms; (ii) spraying chemicals to kill mosquitoes to reduce spread of Malaria.

c) **Changes made in dangerous or hazardous operations,** while using machinery and equipment or in the performance of other task - e.g. (i) wearing helmets inside construction sites; (ii) wearing gloves and face shields while handling chemicals.

d) **Leading a healthy lifestyle**- helps in reduce the incidence of falling ill - e.g. (i) undergoing regular medical check-ups; (ii) practicing yoga regularly.

e) **Separation**, or spreading out various items of property into varied locations rather than concentrating them, to reduce impact of mishap in any one location - e.g. (i) storing large quantities of flammable substances at separate locations; (ii) fixing fire proof doors in hazardous areas of factories.

4. Risk financing

This refers to the provision of funds to meet losses that may occur.

a) **Risk retention through self-financing** involves bearing losses oneself as they occur. The firm assumes and finances its own risk, either through its own or borrowed funds, this is known as **self-insurance**.

b) **Risk retention within a bigger group:** If the risk is part of a bigger group, like a parent company, the risk can be retained within the larger group which would finance the losses. This can be a group formed by mutual consent as well.

c) **Risk transfer** is an alternative to risk retention. It involves transferring the responsibility for losses to another party.

Insurance is one of the major forms of risk transfer. Instead of facing the uncertainty of many of the other forms, people prefer Insurance as it provides certainty and peace of mind.

5. Insurance vs Assurance

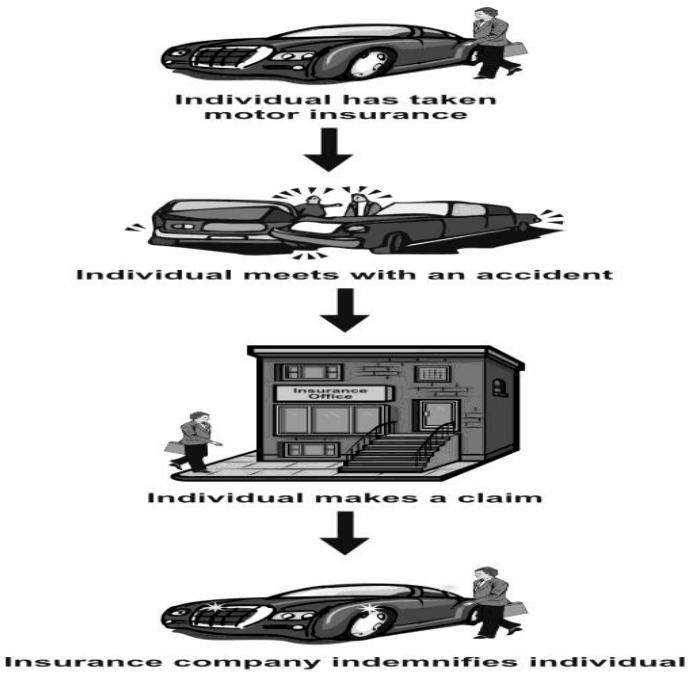
Insurance is used for most General insurance contracts which provide protection against an event that may or may not happen, and where the loss amount can be assessed only after the event.

Assurance refers to financial coverage for extended periods or until death. In the case of life, the happening of death (the loss making event), is certain. Only the timing is uncertain. Further, it is not possible to estimate the amount of economic loss suffered when a person dies. The loss amount that is to be paid,

must be fixed in advance. This is why people use the term 'Assurance' in case of Life insurance.

Though there are such subtle technical differences, the terms 'Insurance' and 'Assurance' are used interchangeably in most markets, including India. *[One of the biggest general insurers in India carries the name – New India **Assurance** Company Ltd. and no life company in India is using the word **'Assurance'** in its name!]*

Diagram 5: How insurance indemnifies the insured



Test Yourself 3

Which among the following is a method of risk transfer?

I. Bank Fixed Deposit
II. Insurance
III. Equity shares
IV. Real Estate

D. Insurance as a tool for managing risk

The term 'Risk' refers not to a loss that has actually been suffered but a loss that is likely to occur. It is thus an expected loss. The cost of this expected loss is the product of two factors:

i. The **probability** that the peril being insured against may happen, leading to the loss

ii. The **severity (impact)** or the amount of loss that may be suffered as a result.

The cost of risk would increase in direct proportion with both the **probability** and the **severity** (amount of loss). This works in different ways – (a) If the amount of loss is very high, and the probability of its occurrence is small, the cost of the risk would be low as such instances may be very few. (b) Even if the amount of loss is small, if the probability of its occurrence is very high, the cost of the risk would be high, as there would be many such occurrences. Insurance can be seen as a powerful tool for managing one's risk. It protects one from the financial impact of losing one's assets/ wealth due to an insured loss.

Diagram 6: Considerations before opting for insurance

E. Considerations before opting for Insurance

When deciding whether to insure or not, one needs to evaluate the cost of transferring the risk [the insurance premium] against the cost of bearing it oneself. Insurance would be most required where the loss impact could be very high, but the probability (and hence the premium), is very low. E.g. (i) the chance of an earthquake; (ii) the chance of a ship sinking.

a) **Do not risk a lot for a little**: A reasonable relationship must be there between the cost of transferring the risk and the value derived.

Would it make sense to insure an ordinary ball pen?

b) **Do not risk more than one can afford to lose:** If the loss that can arise as a result of an event is large enough to cause bankruptcy, retention of the risk would not be appropriate.

If a large oil refinery gets destroyed, the owners cannot afford to bear the loss.

c) **Consider the likely outcomes of the risk carefully:** It is best to insure those assets for which the probability of occurrence (frequency) of a loss is low but the possible impact (severity), is high.

The loss of a space satellite can be so costly that it has to be insured.

Test Yourself 4

Which among the following scenarios needs insurance?

I. The sole bread winner of a family might die untimely
II. A person may lose his wallet
III. Stock prices may fall drastically
IV. A house may lose value due to natural wear and tear

F. Insurance Market Players

The Insurance Companies (Insurers) are the major players in the insurance industry. In addition to insurers, there are multiple parties who are part of the Insurance value chain. There is the Insurance Regulator, which regulates the entire market.

Intermediaries like Agents, Brokers, Banks (through Bancassurance) Insurance Marketing Firms and Point of Sales Persons are in the field of interacting with the prospects/ insured finding out their needs, giving them information about the policies available for covering their needs.

Surveyors and Loss Assessors/ Adjusters go into assessing claims and ancillary work. Third Party Administrators deal with Health and Travel Insurance Claims. Regulations provides that all intermediaries have a responsibility towards the customer.

Agents, being intermediaries between the insurance company and the insured have the responsibility to ensure all material information about the risk is provided by the insured to insurer.

Important

Duty of an Insurance Agent/ Intermediary towards the Prospect (Customer)

IRDAI regulations provides that intermediaries have certain responsibilities towards the prospect. The intermediary has a responsibility towards the insurer as well.

The regulation states that where the prospect depends upon the advice of the insurer or his agent or an insurance intermediary, such a person must advise the prospect in a fair manner. It also says that “An insurer or its agent or other intermediary shall provide all material information in respect of a proposed cover to the prospect to enable the prospect to decide on the best cover that would be in his or her interest”.

If the proposal and other connected papers are not filled by the customer, a certificate may be incorporated at the end of proposal form from the customer that the contents of the form and documents have been fully explained to him and that he has fully understood the importance of the proposed contract.

When the customer pays the insurer towards premium, the insurer is bound to issue a receipt. That is, even if the premium is paid in advance.

G. Role of Insurance in the Society

Insurance companies play an important role in a country's economic development. They ensure that the wealth of the country is protected and preserved. Some of their contributions are given below.

a) Insurance is founded on the principle of Mutuality, in which the collective power of the community is brought together to support its unfortunate few members who suffer an economic loss. There are no substitutes for insurance.

b) Insurance companies collect small amounts of premium and pool them together as huge funds. These funds are held and invested for the interests of policyholders and the benefit of the community. They are not unduly invested in speculative ventures.

c) Insurance provides the benefit of protection to numerous insured - both individuals and enterprises –against losses caused by accidents or fortuitous events. It preserves capital and releases it for development of business and industry, which helps the country's growth.

d) Insurance enables investment of capital leading to commercial and industrial development. It also helps in removing the fear, worry and anxiety associated with entrepreneurship.

e) Many Banks and Financial institutions do not advance loans on property unless it is insured against loss or damage. Many of them insist on assigning the policy as collateral security.

f) Before accepting large complicated risks, general insurers arrange for inspection of the property by qualified engineers/ other experts. They assess the risk and suggest risk management measures to reduce the risk and help in rating.

g) Insurance earns foreign exchange for the country like trade, shipping and banking services.

h) Insurers are associated with institutions engaged in fire loss prevention, cargo loss prevention, industrial safety and road safety.

i) Entrepreneurs get the confidence to invest in new or relatively unknown fields with the protection offered by Insurance.

Information

Insurance and Social Security

a) Social security is an obligation of the State. Social security schemes of the State involve the use of compulsory or voluntary insurance, as a tool of social security. The Employees State Insurance Act, 1948 provides for **Employees State Insurance Corporation** to pay for the expenses of sickness,

disablement, maternity and death for industrial employees and their families, who are covered.

b) Insurers play an important role in social security schemes sponsored by the Government such as

1. PMJJBY –Pradhan Mantri Jeevan Jyoti Bima Yojana
2. PMSBY – Pradhan Mantri Suraksha Bima Yojana
3. PMFBY- Pradhan Mantri Fasal Bima Yojana
4. PMJAY – Pradhan Mantri Jan Arogya Yojana (Ayushmaan Bharat)
5. PMVVY - Pradhan Mantri Vaya Vandana Yojana – a Pension plan
6. APY - Atal Pension Yojana

These, and other Government schemes have been benefiting the Indian society/ community.

c) In addition to supporting Government schemes, the insurance industry offers insurance covers on a commercial basis which have the ultimate objective of providing social security. The **rural insurance schemes**, operated on a commercial basis, are designed to provide social security to the rural families.

Test Yourself 5

Which of the following insurance schemes are sponsored by the Government of India?

I. PM Jan Arogya Yojana - Ayushmaan Bharat
II. PM Fasal Bima Yojana
III. PM Suraksha Bima Yojana
IV. All of the above

Summary

- Insurance is risk transfer through risk pooling.
- Commercial insurance business as practiced today started at the Lloyd's Coffee House in London.
- An insurance arrangement involves the following:
  - ✓ Asset,
  - ✓ Risk,
  - ✓ Peril,
  - ✓ Contract,
  - ✓ Insurer and
  - ✓ Insured
- When persons having similar assets, exposed to similar risks, contribute into a common pool of funds it is known as pooling.
- Apart from insurance, other risk management techniques include:
  - ✓ Risk avoidance,

- ✓ Risk control,
- ✓ Risk retention,
- ✓ Risk financing and
- ✓ Risk transfer

- The thumb rules of insurance are:
  - ✓ Do not risk more than one can afford to lose,
  - ✓ Consider the likely outcomes of the risk carefully and
  - ✓ Do not risk a lot for a little

Key Terms

1. Risk
2. Pooling
3. Asset
4. Burden of risk
5. Risk avoidance
6. Risk control
7. Risk retention
8. Risk financing
9. Risk transfer

Answers to Test Yourself

Answer 1 - The correct option is II.
Answer 2 - The correct option is III.
Answer 3 - The correct option is II.
Answer 4 - The correct option is I.
Answer 5 - The correct option is IV.